

26STCV11169 26STCV11169

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Case Number: 26STCV11169 Hearing Date: June 29, 2026 Dept: 732

Nima Hefaz et al. v. Richard Hill, et al.

Monday, June 29, 2026

CASE NUMBER: 26STCV11169

OPPOSED

Plaintiff Nima Hefazi and Sheeva Zolghadr's Motion to Compel Arbitration is GRANTED as to Defendants Rich Hill and Jordan Rudd,.

Facts: This is an action for fraud and construction negligence. The Complaint alleges as follows. Plaintiffs Nima Hefazi and Sheeva Zolghadr ("Plaintiffs") purchased property from Defendants Richard Hill and Jordan Rudd ("Sellers"), pursuant to disclosures that no renovations had taken place on the property except that was licensed and permitted according to applicable building codes. (Complaint ¶¶ 12–19.) Sellers in fact had conducted numerous renovations not in compliance with applicable codes or permits, and which shall cost Plaintiffs substantial sums to remediate. (Complaint ¶¶ 25–52.) Defendants Rich Hill LLC and 8334 Kirkwood LLC are Defendants' alter egos. (Complaint ¶ 5.)

Procedural History: Plaintiffs filed the Complaint on April 7, 2026, alleging seven causes of action:

Breach of Contract

Civil Code § 1102

Fraudulent Concealment

Fraud

Negligence

Negligence Per Se

Negligent Misrepresentation

Plaintiff filed the present motion to compel arbitration on April 22, 2026.

Defendants filed an opposition on June 12, 2026.

Plaintiffs filed a reply on June 18, 2026.

Analysis:

MOTION TO COMPEL ARBITRATION

On petition of a party to an arbitration agreement to arbitrate a controversy, a court must order the petitioner and respondent to arbitrate the controversy if it determines the arbitration agreement exists, unless (1) the petitioner has waived its right to arbitrate; (2) grounds exist for the revocation of the agreement; or (3) “[a] party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact.” (Code Civ. Proc., § 1281.2.)

“[T]he party moving to compel arbitration bears the burden of establishing the existence of a valid agreement to arbitrate, and the party opposing arbitration bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. The role of the trial court is to sit as a trier of fact, weighing any affidavits, declarations, and other documentary evidence, together with oral testimony received at the court’s discretion, to reach a determination on the issue of arbitrability.” (Hotels Nevada v. L.A. Pacific Center, Inc. (2006) 144 Cal.App.4th 754, 758.)

Plaintiffs Nima Hefazi and Sheeva Zolghadr (“Plaintiffs”) move to compel arbitration of their claims against Defendants Rich Hill, Jordan Rudd, Rich Hill LLC, and 8334 Kirkwood LLC (“Defendants”). Defendants Hill and Rudd (collectively “Sellers”) executed a purchase agreement with Plaintiffs on the property underlying the present action, pursuant to which they agreed to arbitrate “any dispute or claim in Law or equity arising between them out of this Agreement or any resulting transaction.” (Hefazi Decl. Exh. 1 at p. 14.)

Although Defendants Rich Hill LLC and 8334 Kirkwood LLC (collectively “Entities”) are not signatories to the arbitration agreement, Plaintiffs argue that they may nonetheless be compelled to arbitrate by virtue of their status as alter egos of Defendant Rich Hill. (Motion at pp. 12–16.) Plaintiff is correct that arbitration agreements may be enforced against alter egos of a signatory party. (See Bouton v. USAA Casualty Ins. Co. (2008) 167 Cal.App.4th 412, 424 [noting permissibility of enforcement against nonsignatories “who are agents or alter egos of a signatory party or intended third party beneficiaries of an arbitration agreement.”].)

A finding that a corporate entity is an alter ego of another requires findings: “(1) that there be such unity of interest and ownership that the separate personalities of the corporation and the individual no longer exist and (2) that, if the acts are treated as those of the corporation alone, an inequitable result will follow.” (Greenspan v. LADT, LLC (2010) 191 Cal.App.4th 486, 511.) In assessing the existence of a unity of interest, courts assess various factors including commingling of corporate

and personal assets, disregard of corporate formalities, use of the same office or business locations, and others. (Id. at pp. 512–513.)

Plaintiffs here do not seek a traditional alter ego determination against Defendants, by which the owner of a corporate entity is made liable for the wrongs of the corporation. Rather, Plaintiffs here seek “outside reverse veil-piercing,” by which outsiders to the corporation seek to hold corporations liable for the debts of their owners. (See *Curci Investments, LLC v. Baldwin* (2017) 14 Cal.App.5th 214, 221 [“Rather than seeking to hold an individual responsible for the acts of an entity, reverse veil piercing seeks to satisfy the debt of an individual through the assets of an entity of which the individual is an insider.”].) It has been held that, while California does not generally permit application of the doctrine against a corporation of which a debtor is a shareholder, it may be applicable to limited liability companies of which a debtor is a member, such as Entities here. (*Curci Investments, supra*, 14 Cal.App.5th at p. 223.)

Plaintiffs argue that a unity of interest exists between Defendant Hill and the Entities. Plaintiffs argue that Hill was the sole manager of both entities at the time the purchase agreement was signed in September 2024, that he lists as his personal address the same mailing addresses listed by the Entities, and that he holds them out as components of a larger development company called Hill Development Company. (Motion at pp. 12–13; Hefazi Decl. Exh. 7.) Plaintiff argues that Hill used the proceeds of the sale of the underlying property to Plaintiffs to purchase property now owned by 8334 Kirkwood LLC. (Motion at p. 15.)

Defendants argue that Hill is not the sole member, or the majority member, of Defendant 8334 Kirkwood, LLC, and Hill denies using the proceeds of the underlying sale to purchase the property owned by the Kirkwood entity. (Opposition at pp. 7–8.) Defendants note that the property owned by Kirkwood was purchased through a loan, the documents and grant deed for which were signed by co-managers who were not Hill, and listed an address for the entity one other than that listed by Hill personally. (Opposition at pp. 7–8.)

Plaintiffs have not shown that application of the alter ego doctrine is warranted here, applied specifically in reverse veil-piercing fashion against Defendant Entities with respect to the present arbitration agreement. While Plaintiffs present authority for the proposition that such a doctrine may be applied in California, they have not presented any authority for the proposition that outside reverse veil-piercing may be applied to render a corporation subject to an arbitration agreement.

Moreover, Plaintiffs have not satisfied the second element required of any alter ego finding, i.e. that application of the doctrine is necessary to avoid an “inequitable result.” (*Greenspan, supra*, 191 Cal.App.4th at p. 511.) Indeed, excluding Defendant Entities from the agreement would not even render the agreement unenforceable. Although Defendants argue that arbitration cannot be compelled against Sellers alone based on application of Code of Civil Procedure § 1281.2, subd. (c) (Opposition at pp. 10–13), this court cannot apply that statute because the arbitration agreement specifically disclaims any application of the California Arbitration Act:

Enforcement of and any motion to compel arbitration pursuant to this agreement to arbitrate shall be governed by the procedural rules of the Federal Arbitration Act, and not the California Arbitration Act, notwithstanding any language seemingly to the contrary in this agreement.

(Nefazi Decl. Exh. 1 at p. 14.) This language specifically embraces the procedural provisions of the FAA to the exclusion of the CAA. “In accordance with choice-of-law principles, the parties may limit the trial court’s authority to stay or deny arbitration under the CAA by adopting the more restrictive procedural provisions of the FAA.” (*Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal.App.5th 337, 345.)

While the CAA permits a court to deny a motion to compel arbitration where “[a] party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact” (Code Civ. Proc. § 181.2, subd. (c)), no similar provision exists in the FAA. (See *Cronus Investments, Inc. v. Concierge Services* (2005) 35 Cal.4th 376, 388.) Thus, while under the CAA Defendants might hope to defeat arbitration by noting the agreement’s partial applicability to only some of the parties here, Plaintiffs may nonetheless proceed to arbitrate their claims against Sellers, even if Entities are not

so compelled, because the procedural rules of the FAA, specifically agreed to by the signatories, do not permit such discretion. The FAA indeed requires that litigation be stayed if it involves an issue pending in arbitration:

If any suit or proceeding be brought in any of the courts of the United States upon any issue referable to arbitration under an agreement in writing for such arbitration, the court in which such suit is pending, upon being satisfied that the issue involved in such suit or proceeding is referable to arbitration under such an agreement, shall on application of one of the parties stay the trial of the action until such arbitration has been had in accordance with the terms of the agreement, providing the applicant for the stay is not in default in proceeding with such arbitration.

(9 U.S.C. § 3.) Plaintiffs indeed acknowledge in reply that they suffer no prejudice from arbitration against the Sellers alone, while the present action is stayed to permit decision on the “derivative” question of Entities’ alter ego liability once the arbitration concludes. (Reply at pp. 8–9.)

Accordingly, Plaintiffs have not demonstrated that application of outside reverse veil-piercing with regard to the arbitration agreement is necessary to avoid an inequitable result. The arbitration agreement is enforceable against Sellers alone, irrespective of whether it is enforceable against Entities under Code of Civil Procedure § 1281.2, subd. (c).

The parties have not been able to agree to an arbitrator, and ask this court to choose from different lists of potential arbitrators. Plaintiffs contend that Defendants have forfeited any say in the process by refusing to participate prior to the present motion, while Defendants argue that Plaintiff’s proposed arbitrators are based in Northern California and charge higher rates for out-of-town services. (Motion at p. 16; Opposition at pp. 14-15.) Both parties, however, present arbitrators offered through JAMS. (Bryn Decl. ¶¶ 7–8; Motion at p. 8.)

The FAA permits a court to appoint an arbitrator where the parties cannot agree:

If in the agreement provision be made for a method of naming or appointing an arbitrator or arbitrators or an umpire, such method shall be followed; but if no method be provided therein, or if a method be provided and any party thereto shall fail to avail himself of such method, or if for any other reason there shall be a lapse in the naming of an arbitrator or arbitrators or umpire, or in filling a vacancy, then upon the application of either party to the controversy the court shall designate and appoint an arbitrator or arbitrators or umpire, as the case may require, who shall act under the said agreement with the same force and effect as if he or they had been specifically named therein; and unless otherwise provided in the agreement the arbitration shall be by a single arbitrator.

(9 U.S.C. § 5.)

The arbitration agreement here provides only for the parties to agree to an arbitrator, and does not provide a presumptively permissible selection or a method therefore. (Hefazi Decl. Exh. 1 at p. 14.) But while the parties cannot agree to an arbitrator, they agree that any such arbitrator may be provided through JAMS. And for its part, JAMS rules provide procedures for arbitrator selection. (See JAMS Comprehensive Arbitration Rules & Procedures, Rule 15 [“Arbitrator Selection, Disclosures, and Replacement”], available at <<https://www.jamsadr.com/rules-comprehensive-arbitration#Rule-15>>.) This court therefore need not select the particular arbitrator if the parties are in agreement concerning the permissibility of JAMS as an arbitration vendor. Plaintiffs and Sellers are therefore directed to arbitrate this matter through JAMS in Los Angeles.

Accordingly, the motion to compel arbitration is GRANTED as to Defendants Rich Hill and Jordan Rudd, and DENIED as to Defendants Rich Hill LLC and 8334 Kirkwood LLC. The present action is STAYED while the arbitration is pending. Plaintiffs, Hill, and Rudd are directed to arbitrate their dispute through JAMS in Los Angeles.

Superior Court of California

County of Los Angeles

Department 732

NIMA HEFAZI, et al.,

Plaintiffs,

v.

RICHARD HILL, et al.,

Defendants.

Case No.: 26STCV11169

Hearing Date: June 29, 2026

[TENTATIVE] RULING RE:

Plaintiff Nima Hefazi and Sheeva Zolghadr's Motion to Compel Arbitration is GRANTED as to Defendants Rich Hill and Jordan Rudd,.

Plaintiff Nima Hefazi and Sheeva Zolghadr's Motion to Compel Arbitration is GRANTED as to Defendants Rich Hill and Jordan Rudd, and DENIED as to Defendants Rich Hill LLC and 8334

Kirkwood LLC. The present action is STAYED while the arbitration is pending. The parties are directed to arbitrate their dispute through JAMS in Los Angeles.

Plaintiffs to provide notice.

Dated: June 29, 2026

Hon. Richard S. Kemalyan

Judge of the Superior Court